



City of Lafayette Staff Report City Council

Meeting Date: December 14, 2020

From: Jennifer Wakeman, Assistant Administrative Services Director

Subject: FY 2019/20 Development Impact Fee Annual Report

Introduction

California Government Code Sections 66006(b) and 66001(d) require each local agency that imposes AB 1600 development impact fees to prepare an annual report providing specific information about those fees. The AB 1600 legal requirements stipulate that fees imposed on new development have the proper nexus to any project on which they are imposed. In addition, AB 1600 imposes certain accounting and reporting requirements with respect to the fees collected.

Discussion

Development impact fees, otherwise known as public facility fees, are charged by a local governmental agency to an applicant in connection with approval of a development project and are generally collected at the time a building permit is issued. The purpose of these fees is to defray all or a portion of the cost of public facilities related to the new development project. The legal requirements for enactment of a development impact fee program are set forth in Government Code §§ 66000-66025 (the “Mitigation Fee Act”), the bulk of which was adopted as 1987’s AB 1600 and thus commonly referred to as “AB 1600 requirements”.

The Act requires that the City prepare an annual review of all development impact fees as defined in the Act and make a public report on the fees available to the public after the end of each fiscal year. Excluded from this report are developer fees, which are not subject to the reporting requirements of the Act. For example, fees collected pursuant to the City’s zoning powers, rather than pursuant to the Act, are tree removal mitigation in-lieu fees and public art in-lieu fees. The Quimby Act in-lieu parkland fees for residential subdivisions are imposed pursuant to the Subdivision Map Act (Gov’t. Code §66477), and are also not included in the Section 66001 reporting requirement.

Recommendation

Adopt the attached Resolution No. 2020-42, which makes certain findings and determinations related to, and accepting, the 2019/20 Development Impact Fee Report for compliance with Assembly Bill 1600,

as required by California Government Code Section 66006(b) and California Government Code Section 66001(d).

Attachments

1. FY 2019/20 Development Impact Fee Annual Report
2. Resolution No. 2020-42

Item 6B



City of Lafayette, California

FY 2019/20

Development Impact Fee

Annual Report

LEGAL REQUIREMENTS

A. REQUIREMENTS FOR DEVELOPMENT IMPACT FEES

State law (California Government Code Section 66006) requires each local agency that imposes AB 1600 development impact fees to prepare an annual report providing specific information about those fees. Within the AB 1600 legal requirements, it stipulates that fees imposed on new development have the proper nexus to any project on which they are imposed. In addition, AB 1600 imposes certain accounting and reporting requirements with respect to the fees collected. The fees, for accounting purposes, must be segregated from the general funds of the City and from other funds or accounts containing fees collected for other improvements. Interest on each development fee fund or account must be credited to that fund or account and used only for the purposes for which the fees were collected.

Current California Government Code Section 66006 (b) requires that for each separate fund the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the information shown below for the most recent fiscal year. The applicable page numbers for each item are provided for reference.

- A brief description of the type of fee in the account or fund. *(See page 4-5)*
- The amount of the fee. *(See page 5)*
- The beginning and ending balance of the account or fund. *(See pages 6-10)*
- The amount of the fees collected, and interest earned. *(See pages 6-10)*
- An identification of each public improvement on which fees were expended and the amount of expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. *(See page 6)*
- An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.
- A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan. *(See page 11)*
- The amount of refunds made due to sufficient funds being collected to complete financing on incomplete public improvements, and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded. *(See page 11)*

California Government Code Section 66001 (d) requires the local agency make all of the following findings every fifth year with respect to that portion of the account remaining unexpended, whether committed or uncommitted. The applicable page numbers for each item are provided for reference.

- Identify the purpose to which the fee is to be put. *(See pages 3-4)*
- Demonstrate a reasonable relationship between the fee and purpose for which it is charged. *(See pages 3-4)*
- Identify all sources and amounts of funding anticipated to complete financing incomplete improvements.
- Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.
- In any action imposing a fee as a condition of approval of a development project by a local agency, the local agency shall determine how there is a reasonable relationship between the amount of the fee and

the cost of the public facility or portion of the public facility attributable to the development on which the fee is imposed.

B. ADDITIONAL NOTES

The State of California Government Code Section 66002 states that local agencies that have developed a fee program may adopt a CIP indicating the approximate location, size, and timing of projects, plus an estimate for the cost of all facilities or improvements to be financed by fees. A formal CIP is recommended, at a minimum, as a five-year plan.

Every two years, the City updates a five-year CIP which helps to maintain and update the City's General Plan. The CIP also includes a 5-year projection of secure funding sources. Since the amount of annual revenue generated by development impact fees is highly variable, they are not factored into the CIP budget at the beginning of the year. At the conclusion of the fiscal year, the Public Works & Engineering Director evaluates the project list for eligible projects (infrastructure needed to accommodate planned development) and where there are sufficient development impact fees available, applies the funds. As a result of this approach, we do not have approximate date by which the construction of the public improvement will commence based on the accumulation of impact fees.

The CIP relates the City's annual capital expenditures to a long-range plan for public improvements. By relating the plan for public improvements to the City's capacity for funding, and scheduling expenditures over a period of years, the CIP helps maximize the funds available. This type of fiscal management is important during periods that are typified by budgetary demands exceeding financial resources.

C. ESTABLISHING A REASONABLE RELATIONSHIP BETWEEN THE FEE AND THE PURPOSE FOR WHICH IT IS CHARGED

Lafayette's Drainage Impact Fee was established in 1985 for the purpose of funding a Drainage Master Plan, a citywide drainage study that would identify the drainage facilities needed to support existing and future new development in Lafayette. While the Drainage Master Plan was completed in 1998, the list of proposed storm drainage projects and costs has continued to be reviewed and updated by City staff. The most recent update was done in April 2007. In March 2009, a study was conducted so that the City could continue its efforts to update the Drainage Master Plan and to establish a nexus between the construction and provision of new drainage facilities and expansions to existing facilities to allow for more intense usage of the citywide drainage system by future residents and employees. On May 26, 2009, the City Council adopted Ordinance 584 amending Chapter 8-17 of the Lafayette Municipal Code relating to Drainage Impact Fees and Resolution 2009-33 setting the amount of the fees.

The City's Walkways Impact Fee was established in 1969 for the purpose of providing a comprehensive system of walkways, curbs, and gutters in the City. The City adopted a Master Walkways Plan in 1999, and in 2006, revised the list of priority walkway improvements needed to support existing and future new development in Lafayette. In March 2009, a study was conducted to establish a nexus between the construction and provision of walkway improvements identified in the 2006 revisions of the Master Walkways Plan that would accurately reflect the cost of providing walkway facilities and to help ensure that the City maintain a comprehensive system of walkway infrastructure and facilities to meet the additional demand created by new development. On May 26, 2009, the City Council adopted Ordinance 583 amending Chapter 8-1 of the Lafayette Municipal Code relating to Walkways Impact Fees and Resolution 2009-32 setting the amount of the fees.

On June 8, 1998, the Cities of Lafayette and Orinda and the Town of Moraga approved a Joint Powers Agreement to implement the Lamorinda Development Mitigation Fee Program under the direction of the Lamorinda Fee and Finance Authority (LFFA). This effort included the adoption of regional and local transportation impact fees, the nexus for which was the amount of new development expected and the transportation improvements needed to accommodate the new development. The City adopted this program under Ordinance 488 in 1998. An updated nexus study was concluded in FY16 and provided the technical basis for a comprehensive update of the overall transportation system in Lamorinda that will serve the expected future demand based on changes in regional and local land use projections, planned and approved development projects, and associated changes to capital improvements and updated cost estimates.

At their regular meeting on July 28, 2008, the City Council adopted Ordinance 575 and Resolution 2008-28, both of which updated existing regulations regarding dedication of parkland and in-lieu fees (Quimby Act) and established a new park facilities fee (AB 1600). According to the nexus report prepared by Seifel Consulting Inc. in July 2008, the fee's nexus is based on increases in Lafayette's population and the corresponding increase in demand for parks and recreation facilities, as well as, the City's Parks Master Plan, which places future emphasis on neighborhood and/or downtown parks.

D. FUNDING OF INFRASTRUCTURE

The 2018/19 – 2022/23 CIP identifies all funding sources and amounts for individual projects through a five-year period. The CIP is updated annually to reflect the current infrastructure needs of the City. As a CIP project is identified, the project is evaluated to determine the portion of the project that will service existing residents and businesses versus new development.

Once the determination of use is made, the percentage of use attributable to new development is then funded by the appropriate development fee based on the type of project. The percentage of use associated with existing residents or businesses are funded from other appropriate sources as identified on each individual project sheet in the CIP. All future planned infrastructure needs are outlined in the Development Fee Program. The funding and commencement dates for projects are adjusted, as needed, to reflect the needs of the community.

DESCRIPTION OF DEVELOPMENT IMPACT FEES

Drainage Impact Fee – To provide drainage facilities and infrastructure to meet the demand generated by new residential and commercial development

Walkways Impact Fee – To provide walkway facilities and infrastructure to meet the demand generated by new residential development

Transportation Impact Fee – To provide improvements to the Lafayette roadway, transit, bicycle, and pedestrian facilities needed to accommodate travel demand generated by new land development in Lamorinda

Park Facilities Fee – To provide funds for improving parkland in order to maintain a comprehensive system of parks and recreation facilities to meet the additional demand created by new residential development. The fee will ensure that existing park facilities will not become overburdened, and future residential development will bear its fair-share responsibility for the park system.

FISCAL YEAR 2019/20 FEE SCHEDULE

Development Fees	Fee	Per Unit
Walkways Fee (revision effective 7/25/2009)		
Single Family Residence-	1,076.22	Per Unit
Duplex-	747.27	Per Unit
Apartments-	650.59	Per Unit
Mobile Homes-	635.56	Per Unit
Second Units-	385.19	Per Unit
Lamorinda Regional Transportation Fee (effective 1/1/2020)		
Single Fam. Residential Use: Individ. Unit, Duet Home With One Shared Wall, Townhouse-	8,055.20	Per dwelling unit
Multiple Family Residential: Second Unit, Apartments, Condominium-	5,638.30	Per dwelling unit
Multiple Family; Transit Oriented Development	2,988.68	Per dwelling unit
Commercial, office, retail, or industrial use-	8.62	Per square foot of gross floor area
Other	886.54	Per daily trip generated per traffic study
Drainage Impact Fee	0.52	Per sq. ft. of impervious surface added
Park Facilities Fees (revision effective 7/1/2020)		
Additions	1.90	Per Square Foot
Single Family Residence-	8,330.00	Per Unit
Duplex/Townhouse-	5,784.00	Per Unit
Apartments/Condominiums-	5,035.00	Per Unit
Mobile Homes-	4,920.00	Per Unit
Second Units-	2,926.00	Per Unit

FINANCIAL SUMMARY REPORT

Statement of Revenues, Expenditures and Changes in Fund Balance				
For the Year Ended June 30, 2020				
	Development Impact Fees			
Description	Drainage	Transportation	Walkways	Park Facilities
REVENUES				
Fees	\$ 92,945	\$ 128,761	\$ 82,692	\$ 712,729
Interest	1,890	10,527	2,476	16,971
Other Revenue	-	-	-	57,232
Total Revenues	94,835	139,288	85,168	786,932
EXPENDITURES				
012 : City Administrative Costs	-	-	-	42,621
012-9179: Brook Street Park *	-	-	-	2,933
012-9180: Community Center Restrooms **	-	-	-	34,608
012-9184: Rink Surface Modification ***	-	-	-	32,850
Total Expenditures	-	-	-	113,012
REVENUES OVER (UNDER) EXPENDITURES				
Fund Balance, Beginning of Year	86,243	722,268	126,976	733,909
Fund Balance, End of Year	\$ 181,078	\$ 861,556	\$ 212,144	\$ 1,407,829
* The expenditure of park facilities impact fees on Brook Street Park accounts for 1% of the total project cost.				
** The expenditure of park facilities impact fees on the Community Center Restrooms accounts for 4% of the total project cost.				
*** The expenditure of park facilities impact fees on the Rink Surface Modification project accounts for 66% of the total project cost.				

DEVELOPMENT IMPACT FEES REPORT

Drainage Impact Fee					
Statement of Revenues, Expenditures and Changes in Fund Balance					
Last Five Fiscal Years					
Description	FY 2015/16	FY 2016/17	FY 2017/18	FY 2018/19	FY 2019/20
REVENUES					
Fees	\$ 57,969	\$ 89,160	\$ 80,155	\$ 54,656	\$ 92,945
Interest	205	265	316	1,019	1,890
Total Revenues	58,174	89,425	80,471	55,675	94,835
EXPENDITURES					
Expenditures	65,048	137,000	-	140,000	-
Total Expenditures	65,048	137,000	-	140,000	-
REVENUES OVER (UNDER) EXPENDITURES	(6,874)	(47,575)	80,471	(84,325)	94,835
Fund Balance, Beginning of Year	144,546	137,672	90,097	170,568	86,243
Fund Balance, End of Year	\$ 137,672	\$ 90,097	\$ 170,568	\$ 86,243	\$ 181,078
Five-Year Revenue Test Using First In First Out Method					
Available Revenue Current Year	\$ 58,174	\$ 89,425	\$ 80,471	\$ 55,675	\$ 94,835
Available Revenue Prior Fiscal Year (2-yr Old Funds)	62,107	672	90,097	30,568	55,675
Available Revenue Prior Fiscal Year (3-yr Old Funds)	17,391	-	-	-	30,568
Available Revenue Prior Fiscal Year (4-yr Old Funds)	-	-	-	-	-
Available Revenue Prior Fiscal Year (5-yr Old Funds)	-	-	-	-	-
Available Revenue Greater than Five Prior Fiscal Years	-	-	-	-	-
Total Revenue Available	\$ 137,672	\$ 90,097	\$ 170,568	\$ 86,243	\$ 181,078
Result: Five Year Revenue test met in accordance with Government Code 66001.					

DEVELOPMENT IMPACT FEES REPORT (CONTINUED)

Transportation Impact Fee					
Statement of Revenues, Expenditures and Changes in Fund Balance					
Last Five Fiscal Years					
Description	FY 2015/16	FY 2016/17	FY 2017/18	FY 2018/19	FY 2019/20
REVENUES					
Fees	\$ 440,509	\$ 71,108	\$ 89,728	\$ 331,640	\$ 128,761
Interest	543	1,434	1,169	3,198	10,527
Total Revenues	441,052	72,542	90,897	334,838	139,288
EXPENDITURES					
Expenditures	-	250,668	254,358	-	-
Total Expenditures	-	250,668	254,358	-	-
REVENUES OVER (UNDER) EXPENDITURES	441,052	(178,126)	(163,461)	334,838	139,288
Fund Balance, Beginning of Year	287,965	729,017	550,891	387,430	722,268
Fund Balance, End of Year	\$ 729,017	\$ 550,891	\$ 387,430	\$ 722,268	\$ 861,556
Five-Year Revenue Test Using First In First Out Method					
Available Revenue Current Year	\$ 441,052	\$ 72,542	\$ 90,897	\$ 334,838	\$ 139,288
Available Revenue Prior Fiscal Year (2-yr Old Funds)	287,964	478,350	296,532	90,897	334,838
Available Revenue Prior Fiscal Year (3-yr Old Funds)	-	-	-	72,542	90,897
Available Revenue Prior Fiscal Year (4-yr Old Funds)	-	-	-	223,992	72,542
Available Revenue Prior Fiscal Year (5-yr Old Funds)	-	-	-	-	223,992
Available Revenue Greater than Five Prior Fiscal Years	-	-	-	-	-
Total Revenue Available	\$ 729,017	\$ 550,891	\$ 387,430	\$ 722,268	\$ 861,556
Result: Five Year Revenue test met in accordance with Government Code 66001.					

DEVELOPMENT IMPACT FEES REPORT (CONTINUED)

Walkways Impact Fee					
Statement of Revenues, Expenditures and Changes in Fund Balance					
Last Five Fiscal Years					
Description	FY 2015/16	FY 2016/17	FY 2017/18	FY 2018/19	FY 2019/20
REVENUES					
Fees	\$ 6,537	\$ 12,801	\$ 19,820	\$ 77,130	\$ 82,692
Interest	85	34	88	565	2,476
Total Revenues	6,622	12,834	19,908	77,695	85,168
EXPENDITURES					
Expenditures	65,678	-	-	-	-
Total Expenditures	65,678	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	(59,056)	12,834	19,908	77,695	85,168
Fund Balance, Beginning of Year	75,595	16,539	29,373	49,281	126,976
Fund Balance, End of Year	\$ 16,539	\$ 29,373	\$ 49,281	\$ 126,976	\$ 212,144
Five-Year Revenue Test Using First In First Out Method					
Available Revenue Current Year	\$ 6,622	\$ 12,834	\$ 19,908	\$ 77,695	\$ 85,168
Available Revenue Prior Fiscal Year (2-yr Old Funds)	9,917	16,539	29,373	19,908	77,695
Available Revenue Prior Fiscal Year (3-yr Old Funds)	-	-	-	12,834	19,908
Available Revenue Prior Fiscal Year (4-yr Old Funds)	-	-	-	6,622	12,834
Available Revenue Prior Fiscal Year (5-yr Old Funds)	-	-	-	9,917	6,622
Available Revenue Greater than Five Prior Fiscal Years	-	-	-	-	9,917
Total Revenue Available	\$ 16,539	\$ 29,373	\$ 49,281	\$ 126,976	\$ 212,144
Result: Five Year Revenue test is not met, however there are plans to construct a project in FY21/22.					

DEVELOPMENT IMPACT FEES REPORT (CONTINUED)

Park Facilities Impact Fee					
Statement of Revenues, Expenditures and Changes in Fund Balance					
Last Five Fiscal Years					
Description	FY 2015/16	FY 2016/17	FY 2017/18	FY 2018/19	FY 2019/20
REVENUES					
Fees	\$ 295,732	\$ 270,473	\$ 230,831	\$ 642,763	\$ 712,729
Interest	1,445	803	428	3,076	16,971
Other Revenue ⁽¹⁾	86,030	27,262	25,179	25,689	57,232
Total Revenues	383,207	298,539	256,438	671,528	786,932
EXPENDITURES					
Expenditures	344,917	11,854	31,326	23,031	113,012
Total Expenditures	344,917	11,854	31,326	23,031	113,012
REVENUES OVER (UNDER) EXPENDITURES	38,290	286,685	225,112	648,497	673,920
Fund Balance, Beginning of Year	(464,675)	(426,385)	(139,700)	85,412	733,909
Fund Balance, End of Year	\$ (426,385)	\$ (139,700)	\$ 85,412	\$ 733,909	\$ 1,407,829
Five-Year Revenue Test Using First In First Out Method					
Available Revenue Current Year	\$ -	\$ -	\$ 85,412	\$ 671,528	\$ 786,932
Available Revenue Prior Fiscal Year (2-yr Old Funds)	-	-	-	62,381	620,897
Available Revenue Prior Fiscal Year (3-yr Old Funds)	-	-	-	-	-
Available Revenue Prior Fiscal Year (4-yr Old Funds)	-	-	-	-	-
Available Revenue Prior Fiscal Year (5-yr Old Funds)	-	-	-	-	-
Available Revenue Greater than Five Prior Fiscal Years	-	-	-	-	-
Total Revenue Available	\$ -	\$ -	\$ 85,412	\$ 733,909	\$ 1,407,829
Result: Five Year Revenue test met in accordance with Government Code 66001.					

INTERFUND TRANSFERS AND LOANS

As of June 30, 2020, there were no transfers or loans between, or involving, development impact fees.

REFUNDS

As of June 30, 2020, there were no refunds due, nor any that were processed in the fiscal year.

**BEFORE THE CITY COUNCIL OF THE CITY OF LAFAYETTE
IN THE MATTER OF:**

Making Certain Findings And	)	
Determinations Related To, And Accepting,	)	RESOLUTION NO. 2020-42
The 2019/20 Development Impact Fee	)	
Annual Report For Compliance With	)	
Assembly Bill 1600, As Required By	)	
California Government Code Section	)	
66006(b) And California Government Code	)	
Section 66001(d)	)	

WHEREAS, in accordance with California Government Code Section 66006(a), the City has established and maintained a separate capital projects fund and maintained such separate capital projects funds in a manner to avoid any commingling of the fees with other revenues and funds of the City, except for temporary investments, and has expended those fees solely for the purpose for which the fee was collected; and

WHEREAS, California Government Code Section 66006(b)(1) provides that the City shall make available to the public within one hundred eighty (180) days after the last day of each fiscal year a report; and

WHEREAS, California Government Code Section 66001(d) provides that for the fifth fiscal year following the first deposit into the account, and every five years thereafter, the City shall make findings with respect to that portion of the fund remaining unexpended, whether committed or uncommitted; and

WHEREAS, when findings are required by California Government code Section 66001(d), they shall be made in connection with the public information required by California Government Code Section 66006(b); and

WHEREAS, California Government Code Section 66006(b)(2) requires that the governing body of the City review the information made available to the public at a regularly scheduled public meeting not less than 15 days after the information is made available to the public; and

WHEREAS, this report was filed with the City Clerk's office and available for public review on November 20, 2020; and

WHEREAS, the City has complied with all of the foregoing provisions.

NOW, THEREFORE, BE IT RESOLVED THAT:

Section 1. The City Council does hereby find and determine that the foregoing recitals and determinations are true and correct.

Section 2. The City Council of the City of Lafayette at a public meeting has reviewed the following information pursuant to California Government Code Section 66006(b)(1), as is required by California Government Code Section 66006(b)(2), including:

- (A) A brief description of the type of fee in the account or fund;
- (B) The amount of the fee;
- (C) The beginning and ending balance of the account or fund;
- (D) The amount of fees collected and the interest earned;
- (E) An identification of each public improvement on which fees were expended and the amount of the expenditure on each improvement, including the total percentage of the cost of the public improvement that was funded with fees;
- (F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in Section 66001(a)(2), and the public improvement remains incomplete;
- (G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan; and
- (H) The amount of refunds made pursuant to Section 66001(e) and any allocations pursuant to Section 66001(f).

Section 3. The City Council of the City of Lafayette at a public meeting has reviewed the proposed findings, as required by California Government Code Section 66001(d)(1), including:

- (1) Identify the purpose to which the fee is to be put;
- (2) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged;
- (3) Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements; and
- (4) Designate the approximate dates on which the funding referred to in paragraph (3) is expected to be deposited into the appropriate account or fund.

Section 4. The City Council of the City of Lafayette hereby determines that all reportable fees, collections and expenditure have been received, deposited, invested and expended in compliance with the relevant sections of the California Government Code and all other applicable laws for the fiscal year 2019/20.

Section 5. The City Council of the City of Lafayette hereby determines that no refunds and allocations of reportable fees, as required by California Government Code Section 66001, are deemed payable at this time.

Section 6. The City council of the City of Lafayette hereby determines that the City is in compliance with California Government Code Section 66000, *et seq.*, relative to receipt, deposit, investment, expenditure or refund of reportable fees received and expended relative to City facilities for new development for the fiscal year 2019/20.

PASSED, APPROVED AND ADOPTED by the City Council of the City of Lafayette at the regular meeting held on the 14th of December 2020 by the following vote to wit:

AYES:

NOES:

ABSTAIN:

ABSENT:

APPROVED:

Mike Anderson, Mayor

ATTEST:

Joanne Robbins, City Clerk